

Japan: Apr-Jun MOF Corporate Statistics: Sharp Rise in Corporate Recurring Profits; Capex Also Increases Modestly

BOTTOM LINE: Recurring profits rose for the fourth consecutive quarter in April-June by +11.0% qoq (seasonally adjusted), and the profit level reached a new high. The manufacturing sector and the non-manufacturing sector saw double-digit growth of +12.1% qoq and +10.2% qoq, respectively. Capex (including software) increased modestly by +1.5% on a qoq basis.

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KEY NUMBERS (All Industries, Excluding Financials):

- **Sales, yoy %**, Apr-Jun: +5.9%, Jan-Mar: +1.1%
- **Recurring profits, yoy %**, Apr-Jun: +24.6%, Jan-Mar: +14.6%
- **Capex (incl. software), yoy %**, Apr-Jun: +1.6%, Jan-Mar: 0.0%
- **Capex (incl. software), qoq %**, Apr-Jun: +1.5%, Jan-Mar: -1.8%

Sales show highest growth since 2021: April-June MOF Corporate Statistics saw sales on an all-industry basis (excludes insurance/financials) accelerate to +5.9% yoy (January-March: +1.1%). Sales accelerated particularly in information and communication electronics equipment (+22.2%) yoy and chemicals (+16.6%) yoy.

On a seasonally adjusted basis (qoq), overall sales increased for the fourth consecutive quarter, rising by +2.7% (January-March: +1.8%), marking the highest qoq growth since October-December 2021 (+4.2%). Sales in the manufacturing sector slowed to +1.1% qoq (January-March: +3.5%), while non-manufacturing sector sales accelerated to +3.5% qoq (January-March: +1.1%). The seasonally adjusted sales level (all industry) reached a new high of ¥408 tn.

Recurring profits also surge in both manufacturing and non-manufacturing sectors: All-industry recurring profits accelerated further to +24.6% yoy in April-June, from +14.6% in January-March. The manufacturing sector accelerated further to +57.0% yoy, from +42.9% in January-March. The non-manufacturing sector also posted solid growth of +9.8% yoy (January-March: +1.4%).

In the manufacturing sector, significant profit declines had been seen in 7 out of 11 industries during the April-June 2025 quarter, including transportation equipment, iron & steel, and business-oriented machinery, following the imposition of US tariffs. However, partly as a rebound from this, recurring profits rose yoy in all manufacturing industries in April-June 2026. In particular, information and communication electronics equipment continued to see meaningful expansion, at +171.2% yoy (January-March: +174.7%), driven largely by elevated memory chip prices.

By capital level (all-industry basis), recurring profits continued to rise strongly at

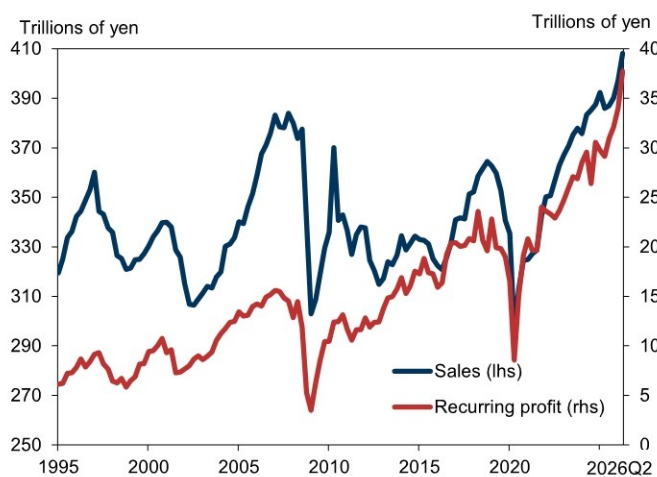
large enterprises with capital of ¥1 bn or more (+29.4% yoy; January-March: +24.7%). Meanwhile, at SMEs with capital of ¥10 mn to ¥100 mn, profits remained at a modest increase of +4.4% yoy (January-March: +1.5%).

On a qoq basis, all-industry recurring profits rose for the fourth consecutive quarter, by +11.0% (January-March: +5.9%), and the seasonally adjusted profit level reached ¥37.7 tn, setting a new record high. The manufacturing sector and the non-manufacturing sector both saw double-digit growth, at +12.1% qoq (January-March: +14.1%) and +10.2% qoq (January-March: +0.9%), respectively.

Capex shows slight positive growth: Capex (includes software) on an all-industry basis increased modestly by +1.6% yoy (January-March: 0.0%). While the manufacturing sector saw a decline for the second consecutive quarter, at -3.7% yoy (January-March: -0.4%), non-manufacturing sector capex accelerated to +4.7% yoy (January-March: +0.3%). Within the non-manufacturing sector, capex expanded particularly in services (+25.9% yoy) and goods rental and leasing (+24.9% yoy).

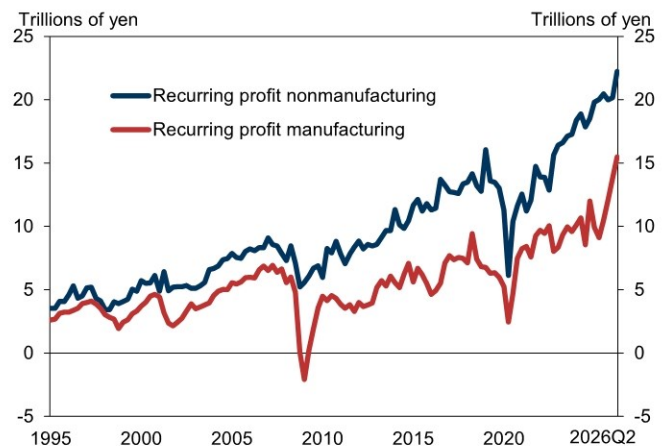
On a qoq basis, all-industry capex also turned upward modestly by +1.5%, from -1.8% in January-March. While capex in the manufacturing sector maintained a modest increase of +0.4% qoq (January-March: +0.7%), capex in the non-manufacturing sector turned positive, at +2.0% qoq (January-March: -3.1%). Capex currently lacks momentum compared to FY2025 (+4.3%), potentially due to companies temporarily putting investments on hold amid high uncertainty particularly regarding the Middle East situation, as well as delays in machinery delivery times and construction progress against a backdrop primarily of supply disruptions. However, the level of capex remains high, supported by demand for investment in digitalization and labor-saving measures, as well as rising capex costs.

Exhibit 1: Corporate Sales and Recurring Profits



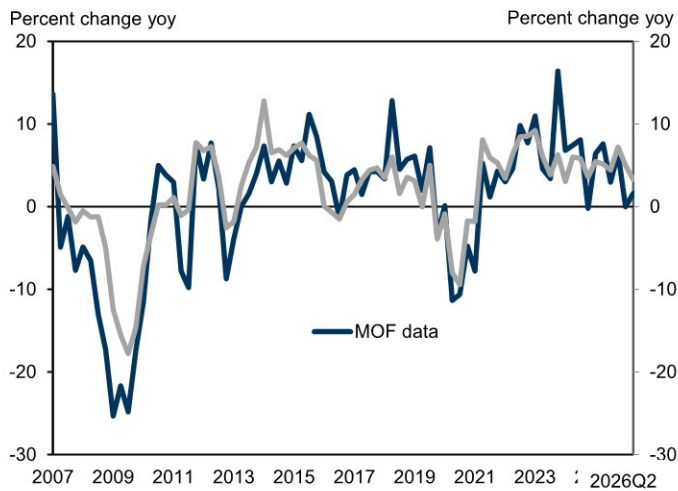
Source: Ministry of Finance

Exhibit 2: Recurring Profits: Manufacturing vs. Nonmanufacturing



Source: Ministry of Finance

Exhibit 3: Capex



Source: Ministry of Finance, Cabinet Office

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